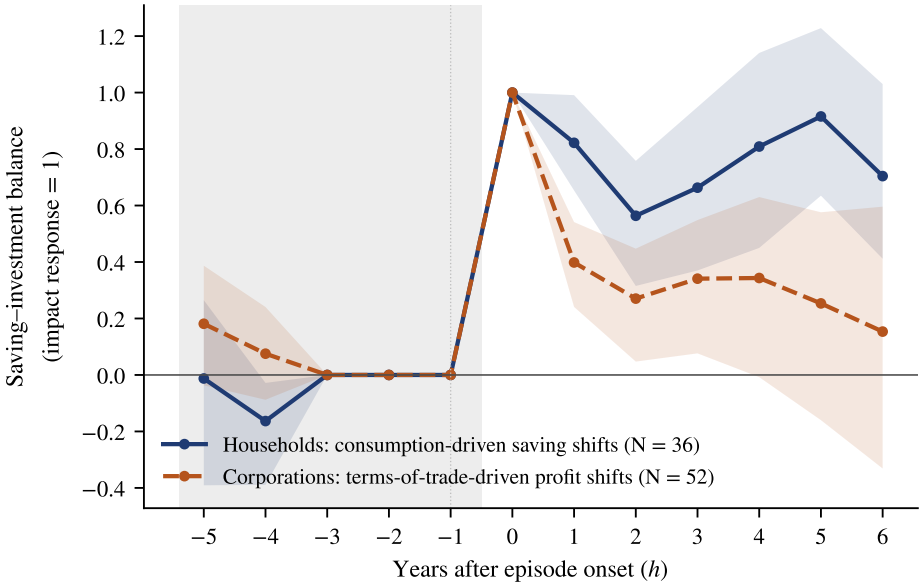
Figure 1. Persistence of sectoral saving–investment balances



Notes: Cumulative responses of the own-sector saving–investment balance (national-accounts net lending, percent of GDP), normalized by the impact response. Shaded bands are 68 percent confidence bands from a country-cluster bootstrap (499 replications). Years −5 to −2 are pre-episode responses ($y_{t+h} - y_{t-1}$, shaded area); year −1 is the reference year. With two lags of the own-sector change controlled for, years −3 and −2 are zero by construction; years −5 and −4 test for remaining pre-episode movement. Episodes: country-specific top/bottom decile changes in the household saving rate with the consumption-share change exceeding the disposable-income-share change (households), or in the terms of trade with operating surplus moving in the same direction (corporations); increases and decreases pooled with signs aligned. Local projections with country and year fixed effects, estimated by two-step weighted least squares; 42 economies, 1970–2025. All regressions control for two lags of the change in the own-sector saving–investment balance.